Project Kestrel: Comprehensive Due Diligence Report

Draft for Investment Committee discussion

October 19, 2026

Target: Corvane Diagnostics, Inc. (NASDAQ: CRVD). Bidder: Halvard Ridge Capital Partners Fund IV.

Fictional case study

Prepared by an AI multi-agent diligence system with human review

1. Executive summary

All amounts are US$ millions unless stated. This is a draft for human decision-makers, not investment, legal or accounting advice.

Bottom line

Proposed recommendation: Do not proceed at the current price. The Investment Committee makes the decision. Pause signing until (1) the September 30, 2026 covenant result and any lender waiver are known, (2) the government files its False Claims Act complaint (due October 30, 2026), and (3) the model is re-based on verified earnings. Any revised proposal should start from LTM Adjusted EBITDA of 109.2 (Corvane basis, excluding a 14.2 one-off) or lower, net of the 2027 Medicare cut, and come with specific protections.

The deal brief values Corvane at 13.2x FY2025 Adjusted EBITDA of 125.3 and sizes a 750.0 term loan at 6.0x. The sources show that this base includes a 14.2 one-off, that 2026 guidance has been cut below the financing condition, that a covenant step-down at September 30, 2026 is projected to be breached before signing, that the flagship test faces a 30.0% Medicare rate cut, and that the US government has intervened in a False Claims Act case on the same test.

Top five red flags

#	ID	Red flag	Severity	Test met
1	X-02	FY2026 Adjusted EBITDA guidance of 100-106 is below the 110.0 LTM financing condition. Projected LTM at June 30, 2027 is about 83.0 (range 78.2 to 91.5) (projection).	Critical	Block closing
2	X-03	Covenant leverage at June 30, 2026 is 4.39x against 4.50x, and 5.36x without the one-off. The limit falls to 4.00x at September 30, 2026; projected leverage is 4.48x to 5.01x (projection). The certificate is due about November 14, 2026, before signing.	Critical	Default before signing
3	X-01	FY2025 Adjusted EBITDA includes a 14.2 Q4 change in estimate and 24.1 of add-backs that appear in each period from FY2022 to H1 2026. LTM is 109.2 without the one-off and 79.3 without both.	Critical	More than 10% of value: the one-off alone is 187.4 (11.4% of EV)
4	X-04	The 2027 Medicare rate for OncoTrace (code 0419U) falls 30.0%, and about 40% of non-Medicare OncoTrace revenue is priced off it. Effect about 29.0 to 30.3 a year (projection).	Critical	More than 10% of value: 383.0 to 400.0 (23.2% to 24.3% of EV)
5	X-05	The US intervened on August 18, 2026 in a False Claims Act qui tam on Medicare OncoTrace claims. The relator alleges 96.4 of single damages, 289.2 trebled (allegation), plus per-claim penalties.	Critical	More than 10% of value (17.5% of EV, allegation); Medicare exclusion could stop the deal

Other High issues: the Genaro patent case against OncoTrace with trial before closing (X-07), disclosure reliability (X-06), the Veltrane trial halt (X-08), stale accounting judgments and premium (X-09), the Orvia change-of-control right (X-10), cyber exposure above insurance (X-11), and an over-sized term loan (X-12).

Main positive and mitigating points

- The data ties together. Net debt of 391.0 and the 424.7 repayment reconcile exactly to the filings (FIN-11, SEC-20).
- Corvane disclosed the 14.2 change in estimate, the material weakness and the adverse ICFR opinion in its 10-K, and the proxy states openly that the bonus was not adjusted (SEC-01, SEC-06, SEC-15).
- LTM Adjusted EBITDA on Corvane's own definition is 123.4 at June 30, 2026, so the financing condition is met today (SEC-30). The issue is the trend to closing.
- Reagent tariffs: the Helixor contract fixes prices and Helixor bears import duties through December 31, 2028 (10-K, NEWS-11).
- The revolver had 65.0 undrawn at June 30, 2026 (SEC-26).
- The Hollis wage-and-hour case was dismissed with prejudice with no payment; the NC DEQ penalty is 0.18 (litigation files).
- The sale-leaseback gain of 6.8 is correctly excluded from EBITDA (FIN-13).
- A news item about an FDA warning letter concerns Corvane Laboratories Pty Ltd, an unaffiliated company (X-16, not verified, Low).

Valuation implications

At the deal's own 13.2x multiple and June 30, 2026 net debt of 395.9 (arithmetic, not a price recommendation):

EBITDA basis	EBITDA	EV at US$24.00 / EBITDA	Price at 13.2x
Company, FY2025	125.3	13.2x	US$24.01
Company, LTM Q2 2026	123.4	13.4x	US$23.53
LTM excl. the 14.2 one-off	109.2	15.1x	US$19.95
FY2026 guidance midpoint	103.0	16.0x	US$18.39
LTM excl. one-off and four recurring add-backs	79.3	20.8x	US$12.42

The 2027 Medicare cut alone is worth about US$7.31 to 7.64 a share at 13.2x (projection, FIN-18). The unaffected share price was US$13.10 on October 2, 2026, so US$24.00 is an 83.2% premium, not the 32.6% in the brief (X-09).

2. Answers to the six IC questions

Q1. Quality of earnings

No. Reported earnings are not large or recurring enough for the price or a 6.0x term loan. FY2025 Adjusted EBITDA of 125.3 includes a 14.2 favorable change in estimate, all in Q4 2025 and 11.8% of that quarter's revenue (SEC-01, FIN-20). Without it, FY2025 growth is 8.0%, not 11.7%, and part of that includes the Pell Ridge acquisition, whose revenue is not disclosed (FIN-03, SEC-18). The estimate sits under a material weakness and an adverse ICFR opinion (SEC-06), and the collection assumption behind it is in doubt as denials rose from 10.7% to 16.2% and DSO from 62.7 to 79.0 days (FIN-09, SEC-19; inference). Four add-backs (payer denial write-offs, billing transition, lab start-up and restructuring) appear in each period from FY2022 to H1 2026 (FIN-01). H1 2026 shows gross margin down from 43.0% to 38.0% and reported EBITDA

down from 39.0 to 19.6 (FIN-04). Combined view: LTM 109.2 without the one-off and 79.3 without both (X-01). The 750.0 loan is 6.87x the first and 9.5x the second (X-12).

Q2. Reimbursement and compliance

Exposure is high. Medicare is the #1 payer at 104.3 (24.2% of revenue) and Medicare-paid hereditary cancer panels are about 76.2 (FIN-12). CMS cut the 0419U rate from US$2,150 to US$1,505 (-30.0%) from January 1, 2027, and about 40% of non-Medicare OncoTrace revenue is priced off that rate (NEWS-03, SEC-24). The effect is about 29.0 to 30.3 a year, 23.2% to 24.3% of EV (projection, X-04). On fraud and abuse, the US intervened in the Whitcomb qui tam on medical-necessity and kickback counts for Medicare OncoTrace claims; the relator alleges 96.4 of single damages and 3.2 of speaker fees to 61 physicians (allegations, X-05). Two commercial payers added prior authorization, which raised denials (SEC-19, SEC-28).

Q3. Legal and regulatory

- **FCA qui tam (X-05, Critical):** complaint-in-intervention due October 30, 2026. Trebled relator claim 289.2 (allegation) before penalties; exclusion risk. Needs a specific indemnity or escrow and a closing mechanism.
- **Genaro patent case (X-07, High):** IPR institution denied and claim construction lost; Genaro's expert claims 68.0 plus a 9% royalty or a permanent injunction against OncoTrace (32.1% of revenue). Trial February 8, 2027, before closing; redesign expected mid-2027 subject to New York State approval. Needs an IP escrow and an MAE and closing treatment of the verdict.
- **Data breach (X-11, High):** seven consolidated class actions and an open HHS OCR review (response due October 30, 2026).
- **Orvia (X-10, High):** the #3 payer can terminate on 60 days' notice on change of control; needs consent.
- No securities or derivative suit appears in the litigation records (LIT-15, not verified, Low).

Q4. Capital structure

The balance sheet is not stable to closing. Covenant Consolidated EBITDA at June 30, 2026 is 90.2, giving 4.39x against a 4.50x limit with a cushion of 2.2; without the 14.2 one-off it is 5.36x (FIN-16). From September 30, 2026 the limit is 4.00x, which needs 99.0; projected leverage is 4.48x to 5.01x (projection, FIN-17, X-03). A breach is an event of default, and lenders may stop revolver loans and accelerate (SEC-26). Cash was 28.8, LTM free cash flow -8.2, and the revolver has gone from 0.0 to 35.0 (FIN-10). Change of control is itself an event of default, cured by repayment at closing (SEC-20). Net debt is 395.9 at June 30, 4.9 above the brief (X-15).

Q5. Disclosure, controls and governance

Reliability is weak (X-06). The 10-K, filed March 5, 2026, said Corvane was "not aware of any pending government investigation that we expect to be material", 22 days after receiving a DOJ civil investigative demand; in the filings provided, the CID first appears in the 10-Q of August 5 (SEC-04, SEC-22). The 10-K omitted the December 15, 2025 IPR denial and described a compliance program overseen by a CCO who had left in January (SEC-21, SEC-23). The April 27 8-K said there was "no evidence at this time" of data theft, six days after an attacker publicly claimed 1.1 TB (NEWS-08, allegation) and three days after plaintiffs allege a forensic finding (LIT-14, allegation). The material weakness is not remediated (SEC-06). Incentives: the FY2025 bonus paid 150% on EBITDA including the one-off; excluding it, the payout would be about

56.9% (inference). The CEO is Chair and co-owns the headquarters landlord, at 1.2 a year above appraised rent to 2040 (X-13).

Q6. Price and structure

US$24.00 does not hold. On LTM excluding the one-off, 13.2x implies US$19.95, before the 2027 Medicare cut (about US$7.31 to 7.64 a share), the FCA case, the Genaro case and the Veltrane wind-down. The financing condition is projected to fail (X-02), and the existing covenant is projected to be breached before signing (X-03). Required protections are in section 7.

3. Risk matrix

One row per distinct issue. The ID column shows the parent finding with its supporting IDs in brackets. Every verified finding appears once.

ID [supporting]	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
X-02 [SEC-02, SEC-30, NEWS-01, FIN-05, FIN-06, FIN-22]	Financing condition. Test met: block closing. Guidance of 100-106 is below 110.0; projected LTM at June 30, 2027 about 83.0 (78.2 to 91.5) (projection).	Cross-source	Critical	Medium	Closing risk, financing	Condition: re-sized financing; obtain lender view before signing
X-03 [SEC-03, SEC-20, SEC-26, NEWS-04, FIN-16, FIN-17, FIN-23, FIN-24]	Covenant default before signing. Test met: default before signing. 4.39x vs 4.50x at June 30; projected 4.48x to 5.01x vs 4.00x at September 30 (projection).	Cross-source	Critical	Medium	Closing risk, liquidity	Condition: Q3 compliance certificate or lender waiver before signing
X-01 [SEC-01, SEC-06, SEC-12, SEC-18, SEC-19, NEWS-07, NEWS-09, FIN-01, FIN-02, FIN-03, FIN-04, FIN-09, FIN-13, FIN-19, FIN-20]	Earnings quality. Test met: more than 10% of value. 14.2 one-off worth 187.4 (11.4% of EV); LTM 109.2 or 79.3 on diligence views.	Cross-source	Critical	Medium	Valuation, financing	Price: re-base on 109.2 or lower; quality-of-earnings review
X-04 [NEWS-03, SEC-05, SEC-24, FIN-12, FIN-18]	2027 Medicare cut for OncoTrace. Test met: more than 10% of value. 383.0 to 400.0 (23.2% to 24.3% of EV) (projection).	Cross-source	Critical	Medium	Valuation, financing condition	Price: deduct from 2027 base; ask for reconsideration status

ID [supporting]	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
X-05 [LIT-01, LIT-02, LIT-10, LIT-11, NEWS-06]	False Claims Act intervention. Test met: more than 10% of value, 289.2 trebled = 17.5% of EV (allegation); exclusion could stop the deal.	Cross-source	Critical	Medium	Valuation, closing, post-closing	Indemnity and escrow; closing mechanism tied to case; outside counsel range
X-07 [SEC-17, LIT-04, LIT-05, LIT-12, LIT-13]	Genaro patent case on OncoTrace (32.1% of revenue); trial February 8, 2027 before closing.	Cross-source	High	Medium	Valuation, closing	IP escrow; MAE and closing treatment of the verdict; license talks
X-06 [SEC-04, SEC-13, SEC-21, SEC-22, SEC-23, SEC-25, LIT-03, LIT-06, LIT-14, LIT-17, LIT-18, NEWS-08]	Disclosure reliability: CID, IPR denial and CCO exit omitted from the 10-K; 8-K "no evidence" of exfiltration.	Cross-source	High	High	Disclosure, post-closing liability	Specific representations; bring-down litigation search; further diligence
X-08 [SEC-10, SEC-11, SEC-29, NEWS-05, FIN-08, FIN-21]	Veltrane (#2 customer, 50.5) halted ATLAS-3; VLT-220 backlog 61.0 (26.4%) terminable on 90 days' notice.	Cross-source	High	High	Valuation	Price: remove VLT-220 backlog; confirm termination notices
X-09 [SEC-08, SEC-27, NEWS-02, NEWS-10, FIN-15]	Goodwill test at US$27.80 with 14% headroom now stale; price US$13.10; premium 83.2%.	Cross-source	High	High	Valuation, disclosure	Further diligence: interim impairment test; re-anchor premium
X-10 [SEC-09, SEC-28, LIT-16]	Orvia (#3, 48.7) may terminate on 60 days' notice on change of control.	Cross-source	High	High	Closing, revenue	Condition: Orvia consent or waiver
X-11 [SEC-07, LIT-07, LIT-08]	Cyber costs and lost revenue 10.1 vs 10.0 limit; 412,300 notified; class actions; OCR review.	Cross-source	High	Medium	Post-closing liability	Specific indemnity; insurance tower review
X-12 [FIN-07, FIN-10]	750.0 term loan is 6.87x LTM excl. one-off, 9.0x projected June 2027 LTM; LTM FCF -8.2.	Cross-source	High	Medium	Financing	Structure: re-size debt, more equity
X-14 [LIT-09]	All six base-case model assumptions are challenged by the sources.	Cross-source	High	High	Valuation	Re-build the model on current sources

ID [supporting]	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
X-13 [SEC-14, SEC-15, SEC-16, SEC-31]	Bonus paid on one-off; CEO landlord lease above market; single-trigger equity and 280G gross-up.	Cross-source	Medium	High	Governance, cost	Renegotiate lease; clawback review; management terms
X-15 [FIN-11]	Net debt 395.9 at June 30 (+4.9 vs brief); change-in-control cash items not broken out.	Cross-source	Medium	Medium	Equity bridge	Define net debt at closing; confirm fees line
NEWS-11	25% reagent tariff from October 1, 2026; Helixor bears duties through 2028.	News	Medium	Medium	Margin from 2029	Integration plan for post-2028 supply

4. Workstream detail

4.1 SEC filings

- **Results and one-off:** the 10-K discloses the 14.2 Q4 change in estimate (SEC-01). FY2026 guidance was cut on August 5 to revenue 405-415 and Adjusted EBITDA 100-106, excluding the 2027 0419U rate (SEC-02). The operating income to Adjusted EBITDA gap widened by 18.7 in H1 2026 (SEC-12).
- **Controls:** material weakness and adverse ICFR opinion on the collection-rate estimate, not remediated at June 30, 2026; completion still expected within 2026 (SEC-06).
- **Debt:** covenant 4.50x through June 30, 2026 and 4.00x from September 30, 2026, 15% add-back cap, certificate within 45 days (SEC-03). Revolver 100.0, 65.0 undrawn (SEC-26). Change of control is an event of default (SEC-20).
- **Legal disclosure:** CID omitted from the 10-K (SEC-04, SEC-22); Genaro "without merit" with no mention of the IPR denial (SEC-17, SEC-21); compliance program described with a departed CCO (SEC-13, SEC-23).
- **Cyber:** 8-K under Item 8.01, no amendment in the filings provided (SEC-07, SEC-25).
- **Judgments:** goodwill test October 1, 2025 at US$27.80, 14% headroom (SEC-08, SEC-27). Pell Ridge goodwill timing is internally inconsistent (SEC-18, inference on cause).
- **Concentration and contracts:** Orvia change-of-control right (SEC-09); Veltrane 90-day termination (SEC-10); backlog 231.4, book-to-bill 0.7 (SEC-11, SEC-29); 40% Medicare-linked commercial pricing (SEC-24); payers adding prior authorization not named (SEC-28).
- **Proxy:** bonus scale and 150% payout (SEC-15, SEC-31); change-in-control benefits 56.4 (SEC-14); related-party lease (SEC-16).

4.2 News and media

Item	Reliability	IDs
Guidance cut and CFO declining to give a leverage figure	High (newswire, on record)	NEWS-01, NEWS-04
Unaffected price US$13.10; deal talks	High for prices; rumor for talks	NEWS-02, NEWS-10
CMS 0419U rate -30.0%	High (published rate)	NEWS-03
Veltrane halts ATLAS-3	High (Veltrane statement); Corvane not named	NEWS-05
CCO exit (fact), DOJ CID (rumor at the time, since confirmed), Bearhaven (allegation)	Mixed	NEWS-06
Q4 "refinement of our collection estimates"	High (CFO on record)	NEWS-07
Ransomware disruption; attacker claim of 1.1 TB	Medium; claim unverified	NEWS-08
Lab start-up costs outside Adjusted EBITDA	Medium (company statement)	NEWS-09
Reagent tariff and Helixor protection	High (tariff); company statement (protection)	NEWS-11

Excluded: the June 2026 charity 5K article (no relevance) and the September 3 FDA item about Corvane Laboratories Pty Ltd, an unaffiliated company.

4.3 Litigation

Matter	Posture	Exposure	Next date	IDs
US ex rel. Whitcomb (FCA qui tam)	US intervened in part August 18, 2026; unsealed August 21	96.4 single, 289.2 trebled (allegation), plus penalties	October 30, 2026 complaint-in-intervention	LIT-01, LIT-02, LIT-03, LIT-10, LIT-11, LIT-17
Genaro v. Corvane (patent)	IPR denied; claim construction for Genaro; expert discovery	68.0 past damages claimed; 9% royalty or permanent injunction	November 20, 2026 motions; February 8, 2027 trial	LIT-04, LIT-05, LIT-12, LIT-13
Data security litigation	Seven cases consolidated; consolidated complaint September 28	Not stated; about 412,300 notified	November 30, 2026 motion to dismiss	LIT-06, LIT-07, LIT-14
HHS OCR review	Data request outstanding	Not stated	October 30, 2026	LIT-08
Hollis (wage and hour)	Dismissed with prejudice	None	None	Low, noted
NC DEQ notice	Penalty agreed	0.18	November 15, 2026	Low, noted

The litigation records do not mention Veltrane, Orvia, recoupment or payer audits (LIT-16). The deal brief's litigation assumption is out of date (LIT-09). Court events after the last filing are listed in LIT-18.

4.4 Financial analysis

Metric	FY2024	FY2025	H1 2025	H1 2026	LTM Q2 2026
Revenue	386.0	431.0	205.2	203.4	429.2
Revenue growth	10.9%	11.7% (8.0% excl. one-off)		-0.9%	
Gross margin	42.5%	43.9%	43.0%	38.0%	
Reported EBITDA	71.7	87.5	39.0	19.6	68.1
Company Adjusted EBITDA	99.9	125.3	56.0	54.1	123.4
Adjusted EBITDA excl. 14.2 one-off	99.9	111.1	56.0	54.1	109.2
Diligence view (excl. one-off and four recurring add-backs)	81.5	87.0	45.0	37.3	79.3
Covenant Consolidated EBITDA	92.1	111.9			90.2
Net debt	371.4	391.0		395.9 (Jun 30)	
Covenant net leverage	4.03x	3.49x		4.39x (Jun 30)	
Initial denial rate	10.7%	13.4%		16.2%	
DSO (net AR, days)	62.7	79.0		80.9 (annualized)	76.7
OCF / Adjusted EBITDA	32.1%	22.7%		14.4%	18.2%
Free cash flow	5.1	-5.1		-4.3	-8.2
Biopharma backlog	214.5	246.0		231.4 (Jun 30)	

Sources: financials/ CSVs; 10-K Item 7 for the 14.2; FIN-16 for covenant figures. The FY2024 diligence view excludes only the four add-backs (no one-off in that year).

Payer and client ranks (FY2025, revenue_by_customer.csv): 1 Medicare 104.3 (24.2%); 2 Veltrane Therapeutics 50.5 (11.7%); 3 Orvia Health Plan 48.7 (11.3%); 4 Brightwater Mutual 30.2 (7.0%); 5 State Medicaid managed care 21.5 (5.0%). Top 10 = 302.5 (70.2%). Genaro Biosciences is not a listed customer.

Note on definitions: the diligence view disallows billing, start-up and restructuring as recurring, while the covenant build (FIN-16) accepts them as cash add-backs because the credit agreement allows them, subject to the 15% cap. The two figures answer different questions.

5. Cross-source insights

What combining sources showed that no single source did:

1. **The financing and covenant tests were built on the one-off.** The 10-K discloses the 14.2; the financial data shows covenant leverage of 4.39x passes 4.50x only because of it (5.36x without); the term loan is sized at 6.0x a base that includes it (85.2 of debt rests on it) (X-01, X-03, SEC-30).
2. **The August 5 guidance is already too high.** It excludes the 2027 Medicare rate (8-K) and predates the August 27 Veltrane halt (news). Adding both gives projected LTM of about 83.0 at a Q2 2027 closing (X-

02).

3. **The Medicare cut reaches commercial revenue.** The news gives the rate; the 10-K gives the 40% commercial linkage; the KPIs give the Medicare share. Together: about 30.3 a year (X-04).
4. **The DOJ investigation was known before the 10-K.** Court records show the CID served February 11 and the government calling the investigation "active" on March 2; the 10-K of March 5 denied any material investigation (X-06).
5. **The 8-K was contradicted within days.** An attacker claim (news, April 21) and an alleged forensic finding (court complaint, April 24) came before the April 27 "no evidence" statement (X-06).
6. **The rumors were right.** The February trade-press report of a DOJ demand was confirmed by the 10-Q and the court record; the Bearhaven speaker-fee claim matches the intervened Count II in substance, though its US$40,000 a year figure is higher than about US$7,500 a year derived from the complaint (inference) (X-05).
7. **Dated judgments no longer hold.** The October 1, 2025 goodwill test assumed stable Medicare rates and 9% growth at US$27.80; since then the rate fell 30.0%, H1 clinical revenue fell 1.9% and the price fell 52.9% (X-09).
8. **The trial lands between signing and closing.** The litigation docket sets the Genaro trial for February 8, 2027 and the redesign for mid-2027; the financial data puts OncoTrace at 32.1% of revenue (X-07).
9. **The backlog thesis rests on one trial.** The 10-K says Veltrane's work is mostly ATLAS-3 and terminable on 90 days' notice; news reports the halt; the filings predate it (X-08).
10. **Incentives line up with the one-off.** The bonus threshold of 110.0 equals the financing condition, and the bonus paid 150% on a figure that includes the 14.2 (X-13).

6. Recommended deal protections and price considerations

Price

- Re-base valuation on LTM Adjusted EBITDA of 109.2 or lower (X-01), less about 29.0 to 30.3 a year from 2027 for the Medicare cut (X-04), less the Veltrane wind-down (X-08).
- Re-anchor the premium on the unaffected price of US$13.10 (X-09).
- Reflect June 30 net debt of 395.9 and define net debt at closing (X-15).

Conditions to signing or closing

- Q3 2026 covenant compliance certificate, or a lender waiver or amendment, before signing (X-03).
- Re-sized and re-committed financing on a verified EBITDA definition (X-02, X-12).
- Orvia consent or waiver of its change-of-control right (X-10).
- Bring-down of litigation and government-investigation representations; a litigation search before signing (X-06).

Escrows and indemnities

- FCA: specific indemnity and escrow sized with outside counsel against the relator's claim and per-claim penalties; treatment of exclusion or a Corporate Integrity Agreement in the MAE definition (X-05).
- Genaro: IP escrow for past damages and royalty to the redesign launch; MAE and closing mechanism tied to the February 2027 verdict; covenant on settlement or licensing (X-07).
- Cyber: specific indemnity for class actions and the OCR review; review of the full insurance tower (X-11).

Structure and governance

- More equity or less debt: the 750.0 loan is 6.87x LTM excluding the one-off (X-12).
- Renegotiate the CEO-owned headquarters lease (1.2 a year above appraised rent); review single-trigger equity and the 280G gross-up; clawback review of the FY2025 bonus (X-13).
- Rebuild the compliance function and complete the material weakness remediation (X-06, SEC-06).

7. Open questions and management request list

Conflicts between sources

1. Data theft: 8-K "no evidence" vs attacker claim, alleged forensic finding and 412,300 notices.
2. DOJ investigation: 10-K statement vs CID served February 11.
3. Speaker fees: Bearhaven US$40,000 a year vs about US$7,500 a year derived from the complaint (inference).
4. Collections: Q4 2025 "improved collection experience" vs rising denials and DSO.

Management requests

1. Consolidated Net Leverage Ratio at June 30 and September 30, 2026, the Q3 compliance certificate (due about November 14, 2026), and any waiver or amendment talks.
2. Quarterly P&L below revenue for Q3 2025 to Q2 2026, and the full Adjusted EBITDA reconciliation by quarter.
3. Q3 2026 results and current FY2026 guidance.
4. Effect of the 2027 0419U rate on OncoTrace revenue; list of Medicare-linked commercial contracts; reconsideration status.
5. Why the February 11 CID was not disclosed in the March 5 10-K; whether a Q1 2026 10-Q disclosed it; reserve; production status; Corporate Integrity Agreement or exclusion risk.
6. Whitcomb's internal reports in 2023, to whom, and what Corvane investigated; reason for and terms of the CCO's departure; speaker-program ledger since 2019.
7. Genaro: counsel's view, damages period start, willfulness, license talks, Corvane's rebuttal figure, OncoTrace v3 New York approval status.
8. Veltrane: termination notices, share of revenue tied to ATLAS-3, close-out terms and contribution margin.
9. Orvia: willingness to waive; whether Orvia is one of the two prior-authorization payers.
10. Ransomware: forensic firm, its April 24 deliverable, who saw it before the April 27 8-K, ransom status, full insurance tower and coverage of lost revenue.
11. Interim goodwill impairment test after the guidance cut; Pell Ridge goodwill timing and revenue.
12. Whether executive change-in-control cash items are inside the 47.7 fees line, and whether equity acceleration is in the 52.4m diluted shares.
13. Breakdown of other liabilities and the sale-leaseback lease liability.

8. Appendix

8.1 Methodology

Architecture. A lead agent ran a Plan, Act, Observe loop with four read-only specialist subagents (SEC filings, news and media, litigation, financial analysis) and a citation verifier. Working memory held the plan, findings register, open questions, key metrics, unedited analyst reports and a run log. Sources were limited to `targets/kestrel/data/`; internet access was blocked.

Iterations. Two of three allowed iterations were used.

- Iteration 1: all four analysts in parallel; 55 findings.
- Iteration 2: narrow follow-ups to the financial, SEC and litigation analysts, with the covenant definition and cross-source facts supplied; 29 findings. The loop stopped because the remaining gaps need data not in the folder.
- Cross-source analysis produced 16 X- findings.

Checkpoint log

Checkpoint	Shown in chat	Decision
1. Plan	Questions, hypotheses, assignments, budget	"approve"
2. Red flags	Critical and High table with tests, conflicts, open items	"proceed"
3. Sign-off	Verification results and draft recommendation	"approve report"

Verification statistics

Run	Checked	Verified	Partially verified	Rejected
SEC filings	31	23	8	0
News and litigation	28	22	6	0
Financial	23	14	9	0
Cross-source	15	9	6	0
Total	97	68	29	0

Partially verified findings were rewritten with the verifier's wording. Severity changes at verification: X-07 from Critical to High; FIN-15 from Low to Medium. No source file contained text trying to instruct the agents.

8.2 Index of verified findings

Status: V = Verified, PV = Partially verified (corrected wording used). Severity is the finding's own.

ID	Short label	Sev.	Status
SEC-01	14.2 Q4 change in estimate	Critical	V
SEC-02	Guidance cut to 100-106	Critical	V
SEC-03	Covenant step-down to 4.00x	High	V
SEC-04	CID omitted from 10-K	High	V

ID	Short label	Sev.	Status
SEC-05	New 0419U rate not quantified	High	V
SEC-06	Material weakness not remediated	High	PV
SEC-07	Ransomware 8-K vs 10-Q	High	PV
SEC-08	Goodwill test headroom 14%	High	V
SEC-09	Orvia change-of-control right	High	V
SEC-10	Veltrane 90-day termination	High	PV
SEC-11	Backlog decline, book-to-bill 0.7	Medium	V
SEC-12	Add-back gap widened 18.7	High	V
SEC-13	CCO left January 2026	Medium	PV
SEC-14	Change-in-control benefits 56.4	Medium	V
SEC-15	Bonus paid 150% on one-off	Medium	V
SEC-16	CEO-owned lease above market	Medium	V
SEC-17	Genaro injunction sought	High	V
SEC-18	Pell Ridge goodwill timing	Medium	V
SEC-19	Denial rate 16.2%	Medium	V
SEC-20	Change of control is a default	Low	V
SEC-21	IPR denial omitted from 10-K	High	V
SEC-22	CID first disclosed Aug 5 (filings provided)	High	PV
SEC-23	10-K describes departed CCO	Medium	V
SEC-24	40% Medicare-linked pricing	Critical	PV
SEC-25	8-K Item 8.01, not amended (filings provided)	High	PV
SEC-26	Revolver 100.0, 65.0 undrawn	High	V
SEC-27	Test-date price US$27.80	High	V
SEC-28	Prior-auth payers not named	Medium	V
SEC-29	ATLAS-3 halt not in filings	High	V
SEC-30	LTM 109.2 excl. one-off	Critical	PV
SEC-31	Bonus scale; no special committee	Medium	V
NEWS-01	Guidance below condition	Critical	PV
NEWS-02	Premium 83.2% to unaffected price	High	V
NEWS-03	0419U -30.0%	High	V
NEWS-04	CFO declined leverage figure	High	V
NEWS-05	Veltrane halts ATLAS-3	High	V

ID	Short label	Sev.	Status
NEWS-06	Compliance cluster	High	PV
NEWS-07	CFO collection-estimate comment	High	V
NEWS-08	Ransomware and attacker claim	High	V
NEWS-09	Start-up costs outside Adj. EBITDA	Medium	V
NEWS-10	Share price -52.9%	Medium	V
NEWS-11	Reagent tariff and Helixor	Medium	PV
LIT-01	FCA intervention	Critical	V
LIT-02	FCA damages (Count I)	Critical	PV
LIT-03	CID served; seal history	High	V
LIT-04	Genaro rulings and damages claim	High	PV
LIT-05	OncoTrace v3 mid-2027	High	V
LIT-06	Alleged April 24 forensic finding	High	V
LIT-07	Seven breach cases consolidated	Medium	V
LIT-08	OCR review	Medium	V
LIT-09	Brief's litigation assumption stale	High	V
LIT-10	Relator's role and Count III	Medium	PV
LIT-11	Speaker fee comparison	Medium	V
LIT-12	Genaro royalty sizing	High	V
LIT-13	Permanent injunction; trial before closing	High	V
LIT-14	Alleged breach timeline; no MFA	High	V
LIT-16	No Veltrane, Orvia or audit matters	Low	V
LIT-17	Investigation "active" March 2	High	V
LIT-18	Court events after last filing	Medium	V
FIN-01	Recurring add-backs	Critical	V
FIN-02	Multiples on adjusted EBITDA	Critical	V
FIN-03	Q4 2025 spike; growth	High	PV
FIN-04	H1 2026 deterioration	High	V
FIN-05	Model needs H2 +19.6%	High	V
FIN-06	Headroom to 110.0	High	PV
FIN-07	Term loan leverage	High	V
FIN-08	Veltrane concentration	High	V
FIN-09	Denials, DSO, reserve	High	V

ID	Short label	Sev.	Status
FIN-10	Cash conversion	High	PV
FIN-11	Net debt basis	Medium	V
FIN-12	Medicare exposure	Medium	V
FIN-13	Acquisition and sale-leaseback	Medium	PV
FIN-15	Goodwill vs equity; stale test	Medium	PV
FIN-16	Covenant EBITDA 90.2, 4.39x	High	V
FIN-17	Projected Sep 30 breach	Critical	PV
FIN-18	0419U sizing	Critical	PV
FIN-19	LTM 109.2; price US$19.95	Critical	PV
FIN-20	One-off 11.8% of Q4 revenue	Medium	V
FIN-21	Veltrane EBITDA at risk	High	V
FIN-22	Projected LTM June 2027 83.0	Critical	V
FIN-23	Revolver funding	Medium	PV
FIN-24	Covenant history	Low	V
X-01	Earnings quality	Critical	V
X-02	Financing condition	Critical	V
X-03	Covenant default before signing	Critical	V
X-04	2027 Medicare cut	Critical	V
X-05	FCA exposure	Critical	PV
X-06	Disclosure reliability	High	PV
X-07	Genaro patent case	High	V
X-08	Veltrane and backlog	High	PV
X-09	Stale judgments and premium	High	V
X-10	Orvia	High	V
X-11	Cyber exposure	High	PV
X-12	Financing package	High	V
X-13	Incentives and related parties	Medium	V
X-14	Stale base case	High	PV
X-15	Equity bridge	Medium	PV

8.3 Findings not verified (Low only)

ID	Finding	Status
LIT-15	No securities class action, derivative suit or SEC inquiry in the litigation records	not verified
FIN-14	Lab informatics ARR -2.3% (17.4 to 17.0), retention 95%	not verified
X-16	Named parties: Genaro not a listed customer; Corvane Laboratories Pty Ltd unaffiliated; Helixor bears duties through 2028	not verified

Also noted as Low without IDs: Hollis v. Corvane (dismissed, no payment) and the NC DEQ notice (0.18 penalty).

8.4 Source index

Folder	Files
`sec-filings/`	CRVD 10-K FY2025 excerpts (filed March 5, 2026); 10-Q Q2 2026 excerpts (August 5, 2026); 8-K April 27, 2026 (network disruption); 8-K August 5, 2026 (Q2 results and guidance); DEF 14A 2026 excerpts (April 10, 2026)
`news/`	13 articles from November 6, 2025 to October 5, 2026 (Triangle Commerce Ledger, Lab Industry Insider, Healthcare Compliance Monitor, Capital Street Wire, Healthcare Policy Daily, Pharma Pipeline News, FDA Enforcement Roundup, Supply Chain Health)
`litigation/`	docket_index.csv; LIT-001 US ex rel. Whitcomb; LIT-002 Genaro; LIT-003 data security litigation; LIT-004 Hollis
`financials/`	income_statement, balance_sheet, cash_flow, adjusted_ebitda_reconciliation, revenue_quarterly, revenue_by_customer, kpis (CSV); README
Root	deal-brief.md; README.md

8.5 Limitations

- All companies, people and data are fictional. The sources are excerpts; the Q1 2026 10-Q, any filing after August 5, 2026, the credit agreement, the commitment letter and Q3 2026 results were not available.
- Several key numbers are projections: the September 30 covenant ratio, the closing-date LTM, the Medicare cut effect and the Veltrane loss. Each is labeled.
- The quarterly P&L below revenue is not available, so the Q3/Q4 2025 split in the covenant projection is an assumption.
- Litigation amounts are claims and allegations, not findings of a court.
- The analysts and verifier are AI agents. Findings should be confirmed by human advisers (financial, legal, regulatory) before any decision. This report is not investment, legal or accounting advice.